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Australia Materials | Asia Pacific

China and the Miners

MORGAN STANLEY AUSTRALIA LIMITED+

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Our monthly report summarizes key data/charts from China to give investors quick insights into China's macroenvironment and its demand for mineral resources.

China view – Faster Budget Rollout to Lift 2H Growth: Our China economics team notes that June activity growth was undershot at 4.3%, missing consensus and Beijing's target, leading to a 20bps cut to the full–year GDP forecast to 4.6%. The key drags were, slower infrastructure push after 1Q front-loading, oil drag on refining and petrochemical production, and softer consumption on faded trade-in effects, a weak job market, and lingering property drag. The team notes policy focus should stay on AI and energy infrastructure, not consumption, amid intensifying US-China tech rivalry. A supplementary budget looks unlikely, with ~Rmb2tn of in-budget fiscal impulse still available for 2H. They expect modestly firmer sequential growth in 2H, supported by faster budget deployment and normalizing oil prices (see here).

Macro – Property downturn extends into 3Q: China's IP was 5.3% YoY in June (May 4.5%); June PMI was 50.3 (May 50). June CPI was 1% YoY (May 1.2%). New property starts fell 26.0% YoY in June (May -24.7% YoY) and GFA sold fell 16.3% YoY in June (May -14.1% YoY). Our China property team noted home sales declined further in June, after reversing the uptrend since May, amid weaker home prices and construction activity. The property team expects the continued slowdown in secondary home sales to accelerate home price declines in 3Q, while developers' still-prudent view on landbanking could weigh on REI. FAI was down 11.2% YoY in June (May -12.5% YoY).

Commodities data – Steel activity picks up: Steel exports in June increased 7% YoY to 10.3mnt and crude steel output rose 0.4% YoY, while domestic steel apparent consumption fell 0.1% YoY. China's iron ore imports were up 6% YoY in June to 113mnt. Port inventories in China stabilized during the month. June aluminum production was up 4.7% YoY to 4.0mnt, reflecting volume releases from Xinjiang and Inner Mongolia, as well as resumed capacities in Northeast China.

How are we positioned? BHP.AX remains our preferred diversified exposure, supported by strategic copper demand, low-cost WAIO cash generation with accretive 330Mtpa expansion optionality, Copper SA valuation upside, potential for further asset crystallisation, and stronger long term growth profile than peers (***see our 3Q Strategy here***). Our iron ore order of preference: **BHP.AX (OW)**, **RIO.AX (UW), FMG.AX (UW), DRR.AX (UW)**. We remain **OW WHC.AX** for coal exposure, potentially benefitting from reduced NSW/QLD logistics disruptions, and weaker SE Asia hydropower supporting thermal coal demand under a strong El Niño scenario. For lithium, risks remain from CATL restart/returning supply, but valuations have reset and 3Q typically is a strong demand quarter. We are **EW PLS**, still preferred over **IGO** which moves to **EW** from **UW**.

AUSTRALIA MATERIALS	
Asia Pacific	
Industry View	**Attractive**

Recent research:

Fortescue Metals Group Ltd.: 4QFY26: Iron Bridge miss comes through (in-line with MSe), US$750m impairment flagged. C1 cost guidance 8% higher vs. cons. (31 Jul 2026)

Boss Energy Ltd: Updating Estimates and Price Target (30 Jul 2026)

Boss Energy Ltd: 4QFY26: Broadly in line, FY27 Guidance to be provided with new Honeymoon Feasibility Study in August (29 Jul 2026)

PLS Group Ltd: 4QFY26: Higher FY27 sustaining capex comes through. Rest broadly in-line with Cons. EW. (29 Jul 2026)

Mineral Resources Limited: Updating Estimates (29 Jul 2026)

Rio Tinto Limited: Off the Call: 1HCY26 Results (29 Jul 2026)

Industrial Production Data and Trade Data

IP data:

New starts were down 26.0% YoY in June, and GFA sold fell 16.3% YoY, while property completions were down 25.0% YoY. Our China property team noted home sales declined further in June, reversing the May uptrend, amid weaker prices and construction activity. The property team expects slowing secondary-home sales to accelerate price declines in 3Q, while developers' still-prudent landbanking view could weigh on REI.

Domestic steel apparent consumption decreased 0.1% YoY in June, supported by 7% growth in net exports while key steel mills production was down 3.5% YoY.

June aluminum production was up 4.7% YoY, to 4.0mnt, mainly reflecting volume releases from newly swapped capacities in Xinjiang and Inner Mongolia, as well as resumed capacities in Northeast China along with high utilization rates across existing operating capacities. As industry margins remain solid, domestic aluminum production is expected to remain high in the near term.

June coal production was down 9.7% YoY and 4.1% MoM to 381mnt. The decline largely reflected ongoing mine suspensions in major coal-producing provinces resulted from tighter safety inspections triggered by a mining accident in late May. Overall capacity utilization and production volume are expected to remain constrained in the near term. Thermal power generation rose 0.5% YoY in June to 498bn kWh, accounting for 60.2% of total power generation, vs. 60.3% May.

Trade data:

Iron ore imports were up 6% YoY in June to 113Mt. Port inventories in China stabilized during the month. Pig iron production at steel mills is down 2% YTD, compared with a 4% YTD decline in crude steel output.

Coal imports increased 29% YoY and 29% MoM in June to 43Mt. Total coal imports in 1H26 were up 2% YoY to 225mnt. Our team thinks the higher volume was driven by expectations of better demand in the summer peak consumption season and the opening of an arbitrage window in June. The import volume in July is likely to stay high.

The following material was published in a report titled: China Materials: June IP Data: Aluminum Production Still Rising (15 Jul 2026)

Property – New starts fell 26.0% YoY in June (vs. -24.7% YoY in May). GFA sold fell 16.3% YoY (vs. -14.1% YoY in May) and property completions were down 25.0% YoY (vs. -19.6% YoY in May), all based on restated data for 2025. Our China property team noted home sales declined further in June, after reversing the uptrend since May, amid weaker home prices and construction activity. The property team expects the continued slowdown in secondary home sales to accelerate home price declines in 3Q, while developers' still-prudent view on landbanking could weigh on REI.

FAI declined 11.2% YoY in June 26 (vs. -12.5% YoY in May). Highway FAI slipped 13.2%

YoY.

Crude steel output rose 0.4% YoY in June (vs. -2.7% YoY in May), better than the -3.5% YoY decline at major steel mills according to CISA. 1H26 production declined 3% YoY. We estimate domestic steel apparent consumption fell 0.1% YoY in June (vs. -8.5% in May), supported by 7% growth in net exports.

Cement production fell 5.6% YoY in June (vs. -8.1% YoY in May). 1H26 production declined 8% YoY. The YoY decline in output continued to narrow in June due to a lower base. Cement demand remained weak in early July due to widespread wet weather across the country.

Aluminum production rose 4.7% YoY and 2.3% MoM to a record-high 4.0mnt in June. Total aluminum production in 1H26 rose 3.8% YoY to 23.2mnt. Higher production mainly reflected volume releases from newly swapped capacities in Xinjiang and Inner Mongolia, as well as resumed capacities in Northeast China. In addition, strong industry profitability encouraged higher utilization rates across existing operating capacities, which also supported production growth. As industry margins remain solid, we expect domestic aluminum production to remain high in the near term.

Coal production declined 9.7% YoY and 4.1% MoM to 381mnt in June. Total coal production in 1H26 fell 1.7% YoY to 2.37bnt. The decline largely reflected ongoing mine suspensions in major coal-producing provinces resulted from tighter safety inspections triggered by a mining accident in late May. While some mines have gradually resumed production, we expect overall capacity utilization and production volume to remain constrained in the near term. Thermal power generation rose 0.5% YoY in June to 498bn kWh, accounting for 60.2% of total power generation, broadly stable vs. 60.3% in May.

Exhibit 1: June 2026 industrial production data

June 2026 Production Data	Growth rate trend	June 2026	MoM June 2026	YoY June 2026	May 2026	Apr 2026	Mar 2026	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	YoY Aug-25	Jul-25	Jun-25	2026YTD
Crude steel (Mnt)		83.7	-0.8%	0.4%	-2.7%	-2.8%	-6.3%	-3.6%	-10.3%	-10.9%	-12.1%	-4.6%	-0.7%	-4.0%	-9.2%	-3.0%
Finished steel (Mnt)		126.6	2.9%	0.0%	-2.8%	-1.7%	-2.3%	-1.1%	-3.8%	-2.6%	-0.9%	5.1%	9.7%	6.4%	1.8%	-0.9%
Cement (Mnt)		144.2	-3.8%	-5.6%	-8.1%	-10.8%	-21.0%	6.8%	-6.6%	-8.2%	-15.8%	-8.6%	-6.2%	-5.6%	-5.3%	-8.0%
Aluminum (Mnt)		4.0	2.3%	4.7%	1.7%	3.1%	2.7%	3.0%	3.0%	2.5%	0.4%	1.8%	-0.5%	0.6%	3.4%	3.8%
Glass (mn wt cases)		76.5	1.4%	-5.3%	-6.3%	-7.9%	-6.6%	-3.5%	3.4%	3.7%	3.3%	-9.7%	-2.0%	-3.4%	-4.5%	-5.7%
Coal production (Mnt)		380.9	-4.1%	-9.7%	-1.7%	-1.0%	0.0%	-0.3%	-1.0%	-0.5%	-2.3%	-1.8%	-3.2%	-3.8%	3.0%	-1.7%
Thermal power generation (kWH bn)		498.0	5.4%	0.5%	2.1%	3.1%	4.2%	3.3%	-3.2%	-4.2%	7.3%	-5.4%	1.7%	4.3%	1.1%	2.9%
FAI, % YoY		-11.2%	1.3ppt	-11.2%	-12.5%	-9.4%	1.6%	-4.4%	-15.1%	-12.0%	-12.2%	-7.1%	-7.1%	-5.3%	-0.1%	-5.7%
IP, %, YoY		5.3%	0.8ppt	5.3%	4.5%	4.1%	5.7%	6.3%	5.2%	4.8%	4.9%	6.5%	5.2%	5.7%	6.8%	5.4%
Property																
FS starts (mn sqm)		53.1	31.8%	-26.0%	-24.7%	-27.1%	-17.1%	-23.1%	-19.3%	-27.7%	-29.3%	-15.0%	-19.8%	-15.2%	-9.5%	-26.0%
FS sold (mn sqm)		88.2	45.5%	-16.3%	-14.1%	-10.3%	-8.0%	-13.5%	-16.6%	-17.9%	-19.6%	-11.9%	-11.0%	-8.4%	-6.6%	-16.3%
FS completions (mn sqm)		31.3	42.4%	-25.0%	-19.6%	-19.0%	-19.3%	-27.9%	-18.4%	-25.4%	-27.9%	0.4%	-21.3%	-29.4%	-2.2%	-25.0%
Investment (Rmb bn)		771.8	20.9%	-26.0%	-24.9%	-20.1%	-11.7%	-10.3%	-36.8%	-31.4%	-23.2%	-21.3%	-19.9%	-17.1%	-12.4%	-18.4%
Infrastructure FAI																
Highway (Rmb bn)*		515.9	47.3%	-13.2%	-13.8%	-18.1%	5.6%	-0.6%	-18.4%	-8.7%	-15.4%	0.9%	-11.6%	-16.6%	3.4%	-7.7%

Source: National Bureau of Statistics, Morgan Stanley Research. *Note: Railway and highway FAI growth is rebased.

The following material was published in our recent report: China Materials: June Trade Data: Aluminium Exports Continue to Rise (14 Jul 2026)

Steel exports in June grew 7% YoY, flat MoM to 10.3Mt. Exports for 1H26 totaled 54.9Mt, -5.6% YoY. Daily production at CISA member mills declined 3.5% YoY in June (vs -4.4% YoY in May). MTD steel exports remained at a high level in July.

China's imports of copper and copper products (refined + alloys) totalled 478kt in June, up 7% MoM and 3% YoY. The import arbitrage opened intermittently despite rising copper prices, and net refined copper imports reached the highest since September 2025 in May. The Yangshan premium pulled back modestly during the month but has since rallied to $90/t, the highest since early 2025, indicating continued solid physical demand. Copper ore and concentrate imports declined 1% MoM and YoY to 2.34Mt, while treatment charges continued to fall as strong sulfuric acid prices supported smelter margins.

Aluminium product exports rose 13% MoM and 45% YoY to 711kt in June, an all time high. Aluminium prices moderated during the month, lowering the export arbitrage which may weigh on July exports. Chinese inventories have begun to decline, particularly as semis exports increased.

China's iron ore imports totalled 113Mt in June, up 15% MoM and 6% YoY. Port inventories in China stabilized during the month. Pig iron production at steel mills is down 2% YTD, compared with a 4% YTD decline in crude steel output.

Coal imports up 29% YoY and 29% MoM in June to 43Mt. Total coal imports in 1H26 were up 2% YoY to 225mnt. The import volume in June was higher than market expectations. We think the higher volume was driven by expectations of better demand in the summer peak consumption season and the opening of an arbitrage window in June. The import volume in July is likely to stay high.

Exhibit 2: China: June 2026 trade data

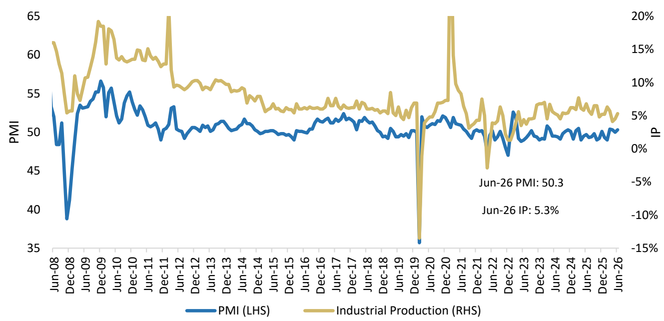
June 2026 Trade data	June 2025 - June 2026	Jun-26	May-26	Apr-26	Mar-26	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	2026YTD
Finished Steel Imports (kt)		441	451	465	512	827	517	496	503	548	500	452	470	2,696
Change %, YoY		-6%	-6%	-11%	2%	-21%	-17%	5%	-6%	-1%	-2%	-10%	-18%	-11%
Change %, MoM		-2%	-3%	-9%	39%	NA	4%	-1%	-8%	10%	11%	-4%	-2%	NA
Finished Steel Exports (kt)		10,320	10,341	9,498	9,135	15,591	11,301	9,980	9,782	10,465	9,510	9,836	9,678	54,874
Change %, YoY		7%	-2%	-9%	-13%	-8%	16%	8%	-13%	3%	0%	26%	11%	-6%
Change %, MoM		0%	9%	4%	17%	NA	13%	2%	-7%	10%	-3%	2%	-9%	NA
Iron Ore Imports (mnt)		113	98	104	105	210	120	111	111	116	105	105	106	629
Change %, YoY		6%	0%	1%	11%	10%	6%	9%	7%	12%	4%	2%	9%	6%
Change %, MoM		15%	-6%	-1%	7%	NA	8%	-1%	-4%	11%	1%	-1%	8%	NA
Copper and Products Imports (kt)		478	446	452	416	700	437	427	438	485	425	480	464	2,491
Change %, YoY		3%	4%	3%	-11%	-16%	-22%	-19%	-13%	1%	2%	10%	6%	-5%
Change %, MoM		7%	-1%	9%	32%	NA	2%	-3%	-10%	14%	-11%	3%	9%	NA
Copper Ores & Concentrates Imports (kt)		2,335	2,361	2,352	2,630	4,934	2,704	2,526	2,451	2,587	2,759	2,560	2,350	14,609
Change %, YoY		-1%	-1%	-20%	10%	5%	7%	13%	6%	6%	7%	18%	2%	-1%
Change %, MoM		-1%	0%	-11%	14%	NA	7%	3%	-5%	-6%	8%	9%	-2%	NA
Aluminum and Products Exports (kt)		711	632	598	485	971	545	570	503	521	534	542	489	3,396
Change %, YoY		45%	16%	15%	-4%	13%	8%	-15%	-13%	-7%	-10%	-8%	-20%	16%
Change %, MoM		13%	6%	23%	13%	NA	-4%	13%	-3%	-2%	-1%	11%	-11%	NA
Coal Imports (mnt)		43	33	33	39	77	59	44	42	46	43	36	33	225
Change %, YoY		29%	-8%	-13%	1%	1%	12%	-20%	-10%	-3%	-7%	-23%	-26%	2%
Change %, MoM		29%	1%	-15%	26%	NA	33%	6%	-9%	8%	20%	8%	-8%	NA

Source: General Administration of Customs, Morgan Stanley Research.

China – Macro Monitor

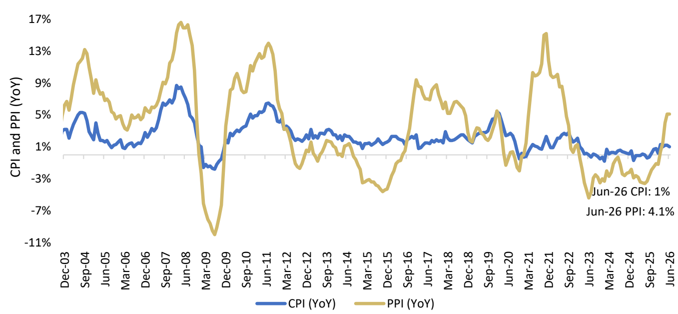
- June PMI +50.3 (May +50). June Industrial production was +5.3% YoY (May +4.5%).
- June CPI rose 1.0% YoY (1.2% May), while PPI increased 4.1% YoY (3.9% May).
- Power generation grew 2.0% YoY in June vs. a rise of 4.2% YoY in May.
- M2 supply in June was up 8.0% YoY (May +8.6% YoY).

Exhibit 3: Chinese PMI and IP



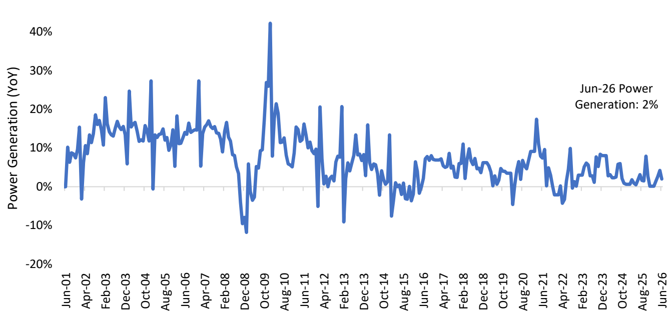
Source: Refinitiv, Morgan Stanley Research.

Exhibit 4: Chinese CPI and PPI



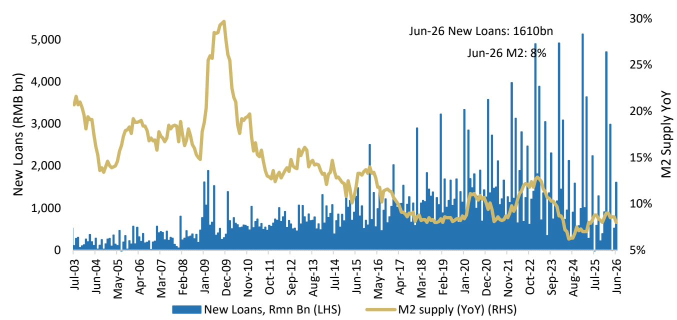
Source: Refinitiv, Morgan Stanley Research.

Exhibit 5: Chinese power generation



Source: Refinitiv, Morgan Stanley Research.

Exhibit 6: Chinese new loans and M2 supply

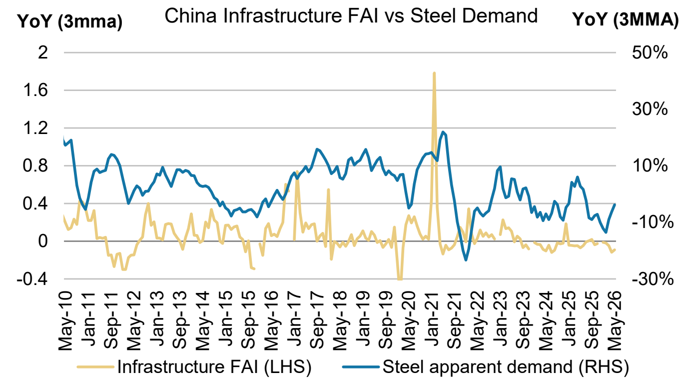


Source: Refinitiv, Morgan Stanley Research.

Exhibit 7: China – Excavator sales

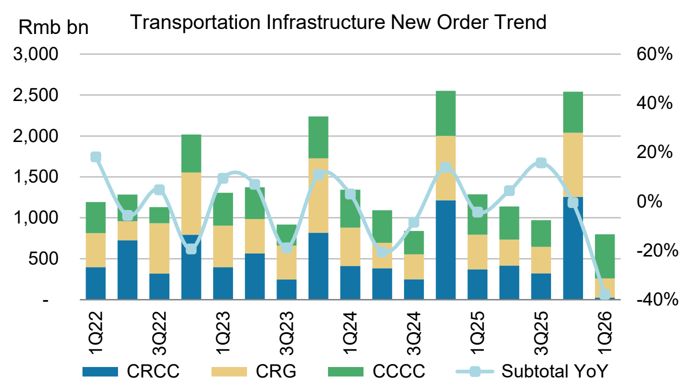
Source: CEIC, Morgan Stanley Research.

Exhibit 8: China – infrastructure spending



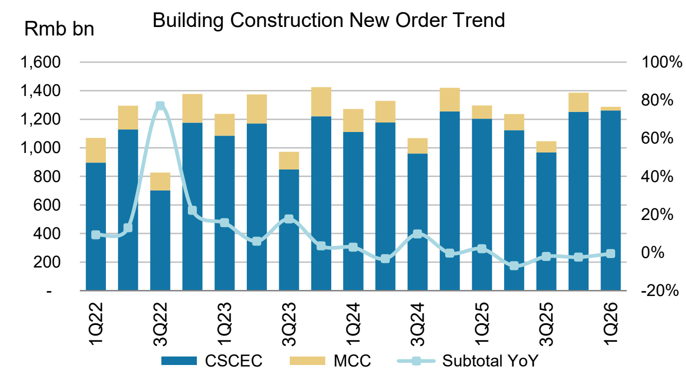
Source: CEIC, Morgan Stanley Research.

Exhibit 9: Transportation infrastructure new orders reported by large infrastructure construction groups



Source: Company data, Morgan Stanley Research.

Exhibit 10: Building construction new order trend for CSCEC and MCC



Source: Company data, Morgan Stanley Research.

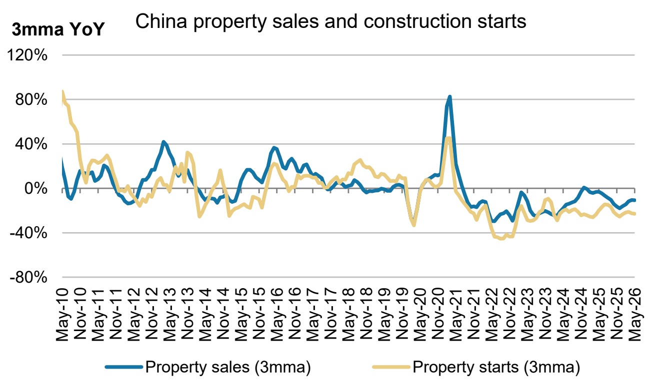
China – Property Update

June Data Deteriorated

Home sales softened further in June amid weaker home price trends. We expect the continued slowdown in secondary home sales to accelerate home price declines in 3Q, especially in Tier 2 and below cities that witness increasing inventory levels.

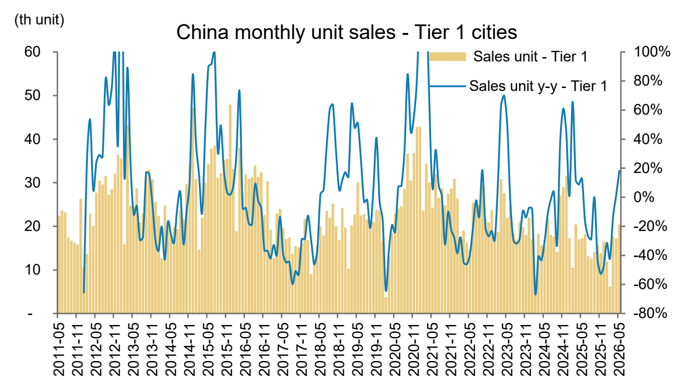
See: China Property: Monthly Tracker: June Data Deteriorated; Weaker 3Q Ahead (17 Jul 2026)

Exhibit 11: China – Property sales and new starts



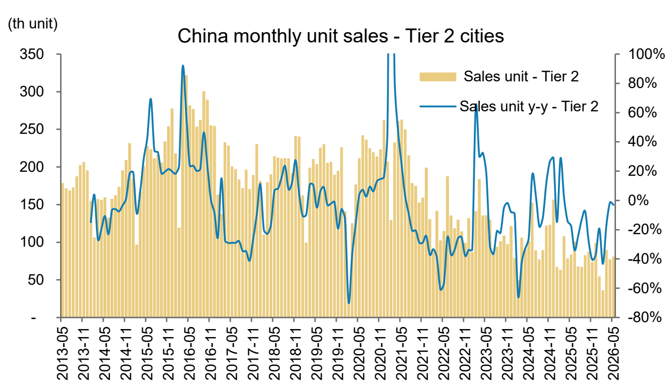
Source: CEIC, Morgan Stanley Research.

Exhibit 12: Chinese Property – Monthly units sold in Tier 1 cities



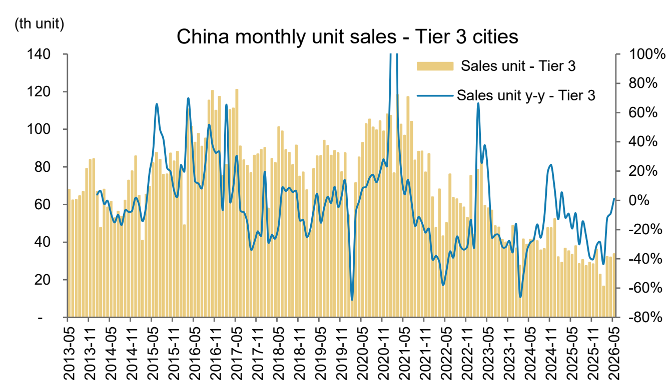
Source: CREIS, Morgan Stanley Research.

Exhibit 13: Chinese Property – Monthly units sold in Tier 2 cities



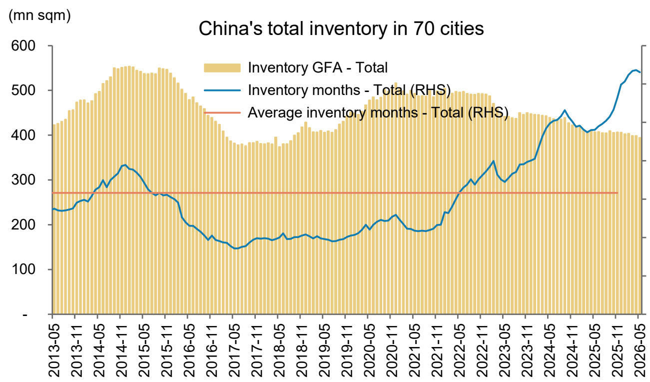
Source: CREIS, Morgan Stanley Research

Exhibit 14: Chinese Property – Monthly units sold in Tier 3 cities



Source: CREIS, Morgan Stanley Research

Exhibit 15: Chinese Property – Total inventory months



Source: CREIS, Morgan Stanley Research.

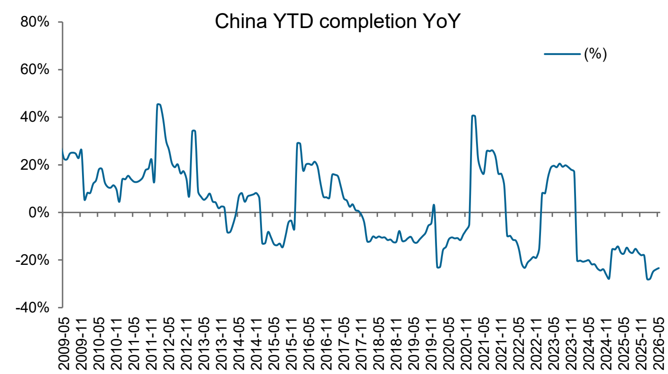
Exhibit 16: Chinese Property – YTD new starts, by city tier

Source: NBS, CEIC, Morgan Stanley Research. Note: The tiered cities include four tier 1 cities: Beijing, Shanghai, Guangzhou, Shenzhen; 15 tier 2 cities: Fuzhou, Nanchang, Tianjin, Chongqing, Chengdu, Hangzhou, Nanjing, Wuhan, Suzhou, Dalian, Shenyang, Qingdao, Jinan, Xiamen, Xi'an; and nine tier 3 cities: Dongguan, Guiyang, Wenzhou, Baotou, Bangbu, Huizhou, Sanya, Zhongshan, Shaoguan.

Exhibit 17: Chinese Property – YTD sales

Source: NBS, CEIC, Morgan Stanley Research.

Exhibit 18: Chinese Property – YTD completion



Source: NBS, CEIC, Morgan Stanley Research.

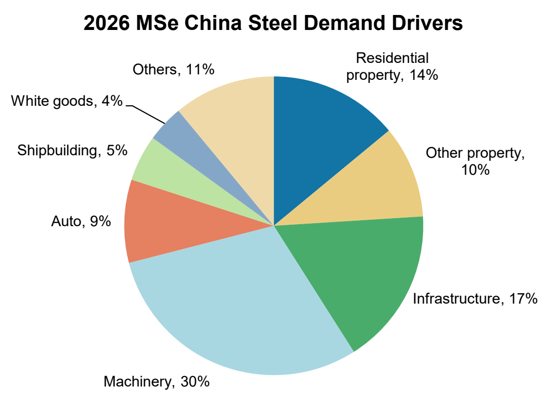
China – Steel and Iron Ore Update

June - Flat sequentially, still lower on the year

China's June finished-steel net exports were flat MoM day-adjusted, annualising at ~119mtpa, but remain ~5% lower YoY YtD.

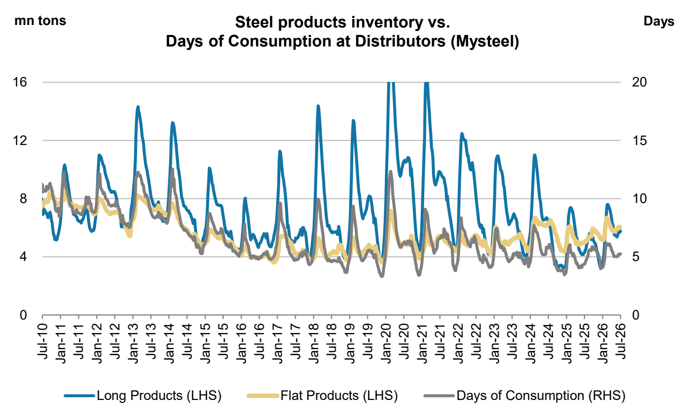
See: China Steel Exports: June - flat sequentially, still lower on the year (14 Jul 2026)

Exhibit 19: Consumption of steel in China



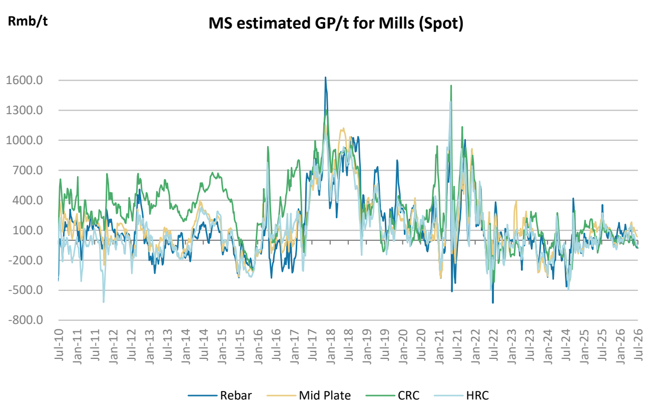
Source: Antaike, Morgan Stanley Research (MSe)

Exhibit 20: Steel product inventory at distributors



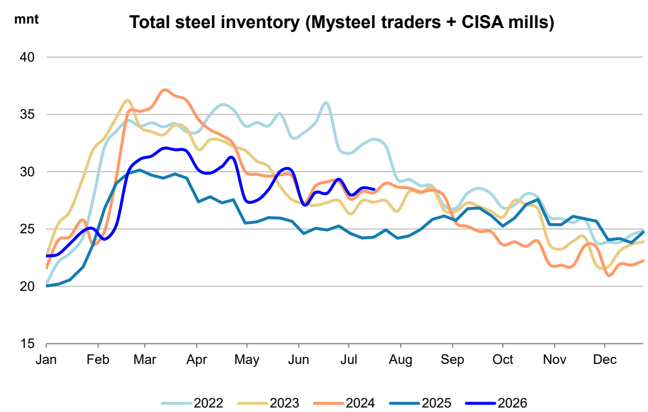
Source: Mysteel, Morgan Stanley Research.

Exhibit 21: GP/t for mills at spot prices



Source: Bloomberg, Morgan Stanley Research.

Exhibit 22: Total steel inventory in China (traders + mills)

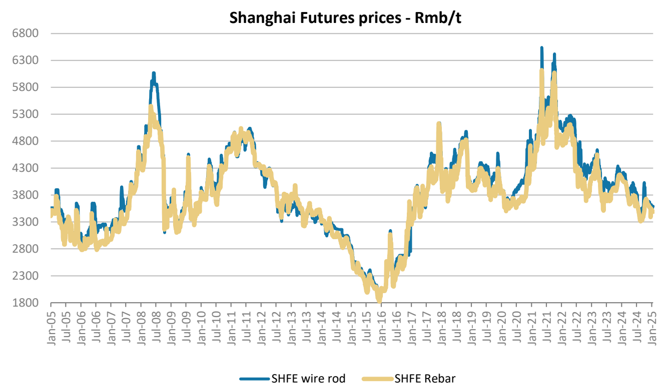


Source: Mysteel, CISA, Morgan Stanley Research.

Exhibit23: Spread between Chinese export prices and domestic prices

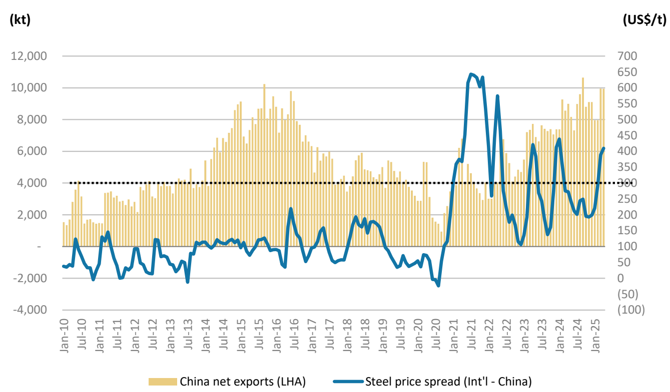
Source: Bloomberg, Morgan Stanley Research.

Exhibit24: Shanghai steel futures prices



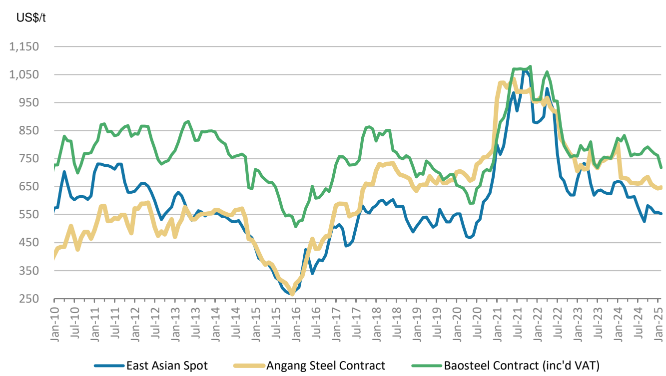
Source: Bloomberg, Morgan Stanley Research.

Exhibit25: Chinese exports vs. international HRC price spread



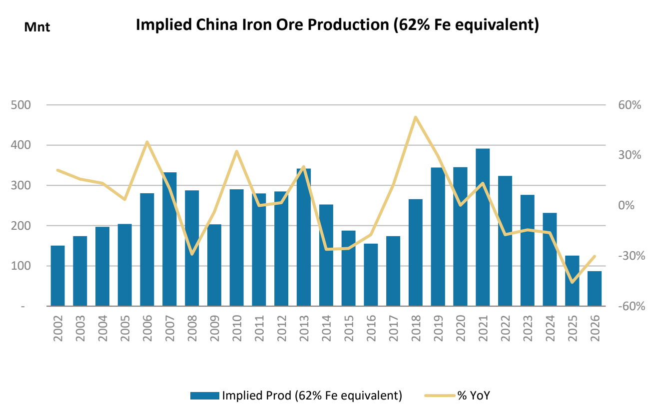
Source: Bloomberg, Morgan Stanley Research.

Exhibit26: Asian steel contract prices vs. East Asian spot



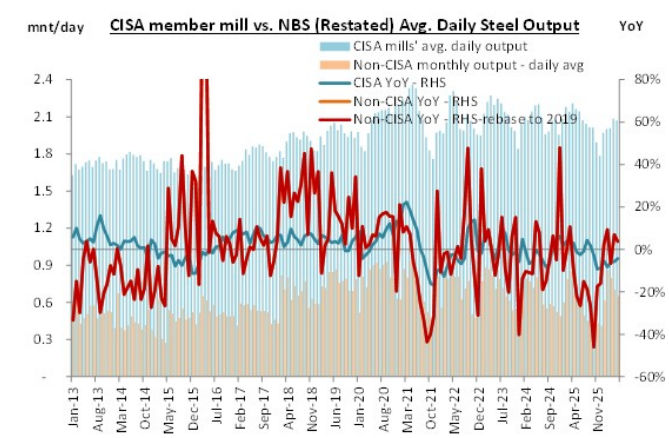
Source: Bloomberg, Morgan Stanley Research.

Exhibit27: Implied China iron ore production (62% Fe equivalent)



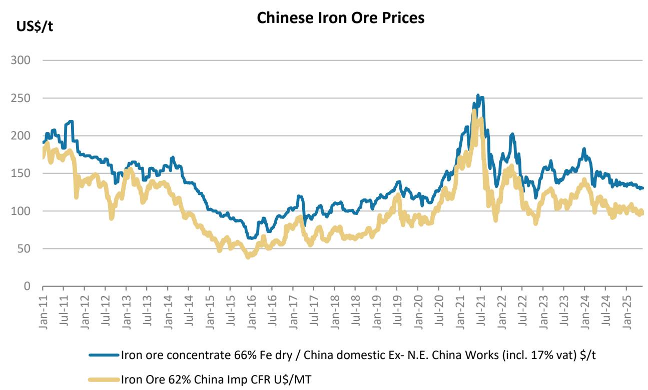
Source: CEIC, Morgan Stanley Research.

Exhibit 28: CISA member mill vs. NBS (restated) average daily steel output



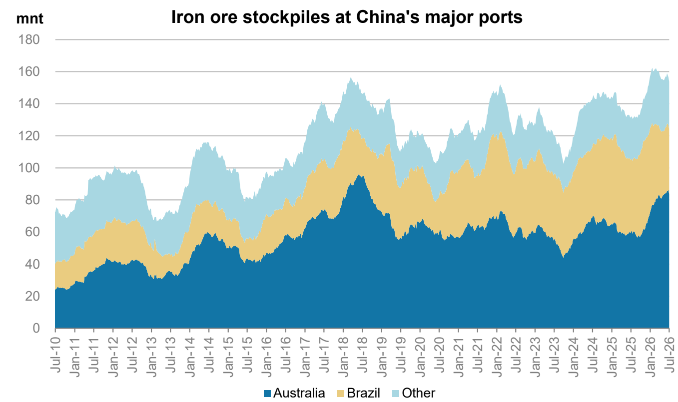
Source: CISA, CEIC, Morgan Stanley Research.

Exhibit29: China – Iron ore prices



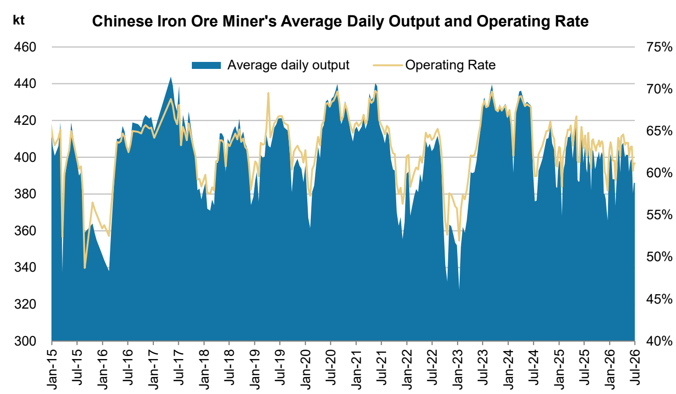
Source: Datastream, Morgan Stanley Research.

Exhibit30: Iron ore inventories at China's major ports



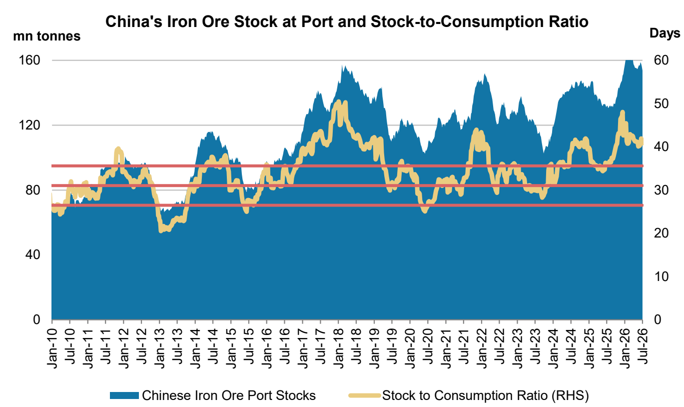
Source: MySteel, Morgan Stanley Research.

Exhibit31: Chinese iron ore miners' average daily output and operating rate



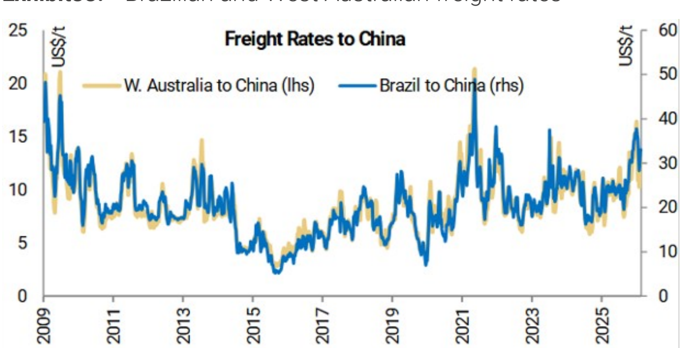
Source: MySteel, Morgan Stanley Research.

Exhibit 32: China's iron ore stock at ports and stock-to-consumption ratio



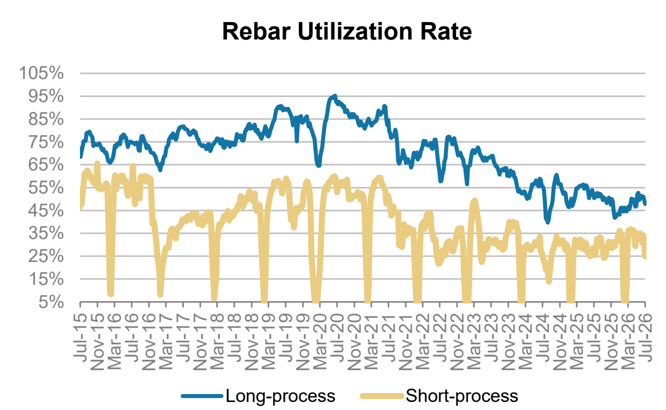
Source: Mysteel, NBS, CEIC, Morgan Stanley Research.

Exhibit33: Brazilian and West Australian freight rates



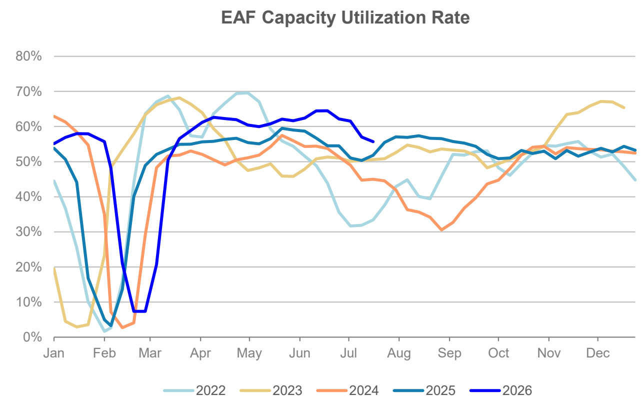
Source: Bloomberg, Morgan Stanley Research

Exhibit34: Rebar utilization rate



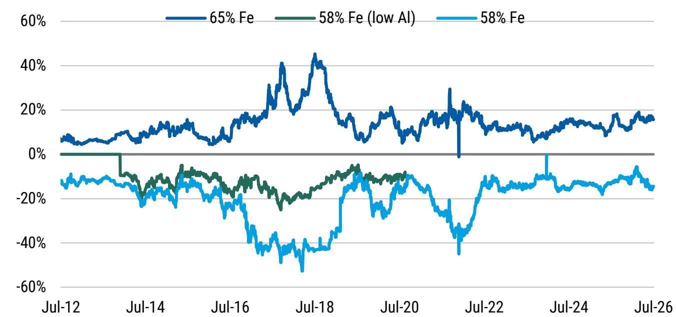
Source: Mysteel, Morgan Stanley Research

Exhibit35: Electric arc furnace (EAF) capacity utilization rate



Source: MySteel, Morgan Stanley Research.

Exhibit 36: Iron ore prices: -discount/+premium vs. 62% Fe (%)



Source: Morgan Stanley Research, Tex Report, Platts; Note: Sourced from our Commodities team

China – Coal Update

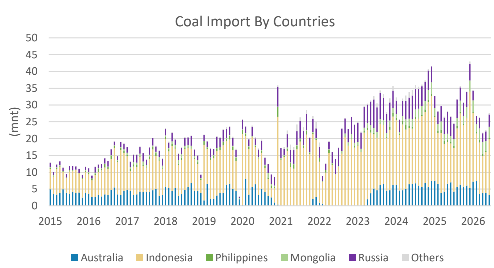
Import Arbitrage Window Remains Open for Indonesia Coal

Thermal coal prices grew WoW, while coking coal prices stayed resilient and Seaborne prices increased slightly. China's thermal coal imports recorded a 38.3% MoM increase in June with Indonesia as the biggest contributor to China's thermal coal imports. This likely reflects expectations for better consumption at power plants and improved arbitrage profit in June. The import window remains open in July, which may imply high import volume this month.

See: China Coal: Weekly Coal Update: Import Arbitrage Window Remains Open for Indonesia Coal (27 Jul 2026)

The following material was published in the report titled: China Coal: Weekly Coal Update: Import Arbitrage Window Remains Open for Indonesia Coal (27 Jul 2026)

Exhibit 37: Chart of the Week – Coal Import By Countries Breakdown



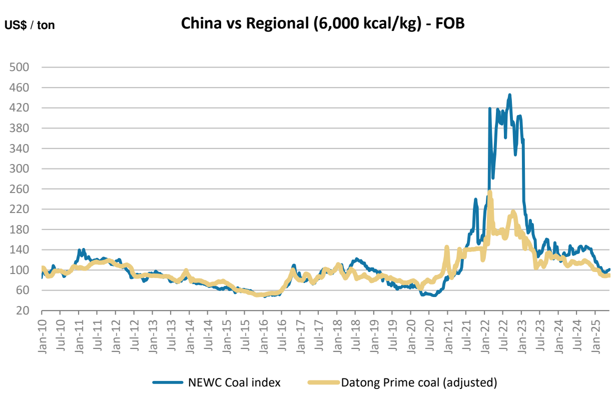
Source: Sxcoal, Morgan Stanley Research.

Exhibit 38: Data for the week

		24-Jul	WoW	YTD	YTD avg	'25 avg	YTD vs '25
Regional							
NEWC thermal coal	US$/ton	131	0.8%	20.2%	128	106.6	20.3%
QLD coking coal	US$/ton	230	-1.3%	5.5%	234	189.0	23.9%
China							
QHD 5500 kcal/kg	Rmb/ton	725	0.4%	4.3%	704	684	3.0%
CCI 5500 kcal/kg	Rmb/ton	827	1.3%	21.3%	777	864	-10.0%
BSPI	Rmb/ton	715	0.3%	2.9%	697	682	2.2%
Liulin No. 4 mine-mouth	Rmb/ton	850	0.0%	26.9%	735	641	14.5%
Liulin No. 4 FOR	Rmb/ton	2,010	0.0%	27.2%	1,694	1,399	21.1%
QHD Inventory	mt	6.45	-5.1%	-7.5%	6.24	6.37	-2.1%

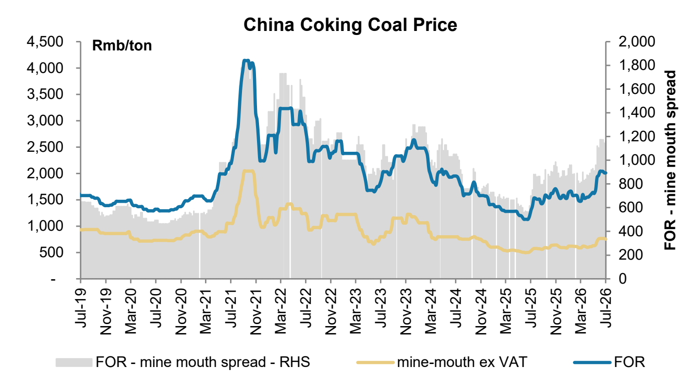
Note: QLD = Queensland; QHD = Qinhuangdao; CCI = China Coal Index; BSPI = Bohai-Rim Steam-Coal Price Index; FOR = Free on Rail. Source: China Coal Transport and Distribution Association (CCTD), McCloskeys, Morgan Stanley Research.

Exhibit 39: China vs. regional FOB thermal coal prices



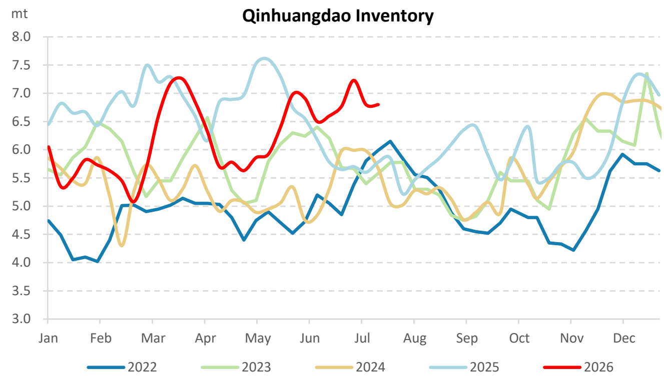
Source: Bloomberg, CCTD, Morgan Stanley Research.

Exhibit40: China's coking coal prices – Mine-mouth vs. FOR



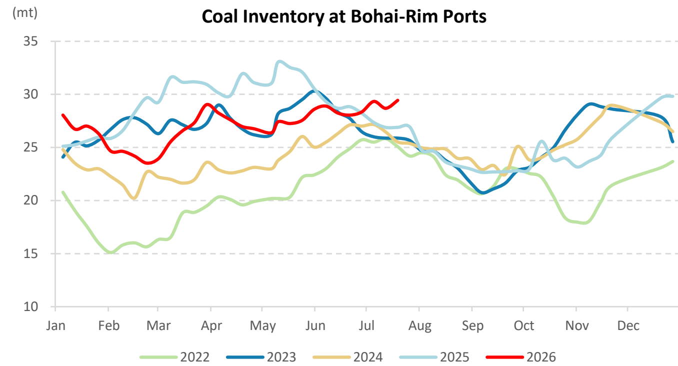
Source: Bloomberg, CCTD, Morgan Stanley Research

Exhibit41: Coal inventory at QHD port



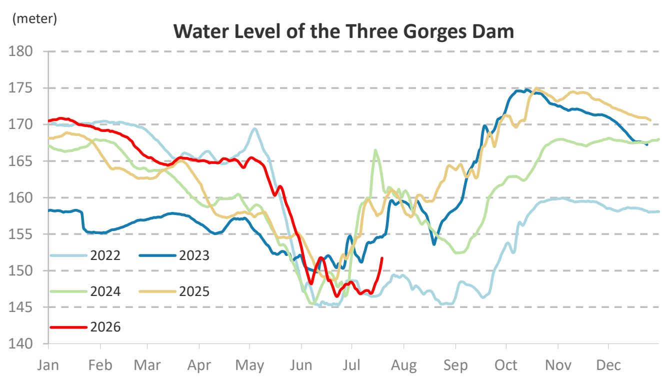
Source: CCTD, Morgan Stanley Research

Exhibit 42: Coal inventory at Bohai Rim ports



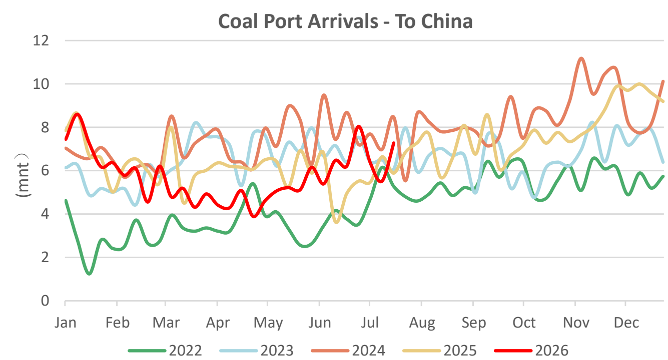
Source: CCTD, Morgan Stanley Research. Note: Bohai Rim Ports include QHD Port, Huanghua Port, Tianjin Port, Caofeidian Port, and Jingtang Port..

Exhibit 43: Water level of Three Gorges Dam



Source: Wind, Morgan Stanley Research

Exhibit 44: China's weekly coal arrivals



Source: Bloomberg, Morgan Stanley Research

Major Theme of the Month

Aluminium: Surplus Coming Faster

Faster restarts in the Middle East and new capacity elsewhere will drive the aluminium market into surplus by 2027. Some near-term tightness may support 3Q prices, but beyond this, the outlook for aluminium looks increasingly bearish.

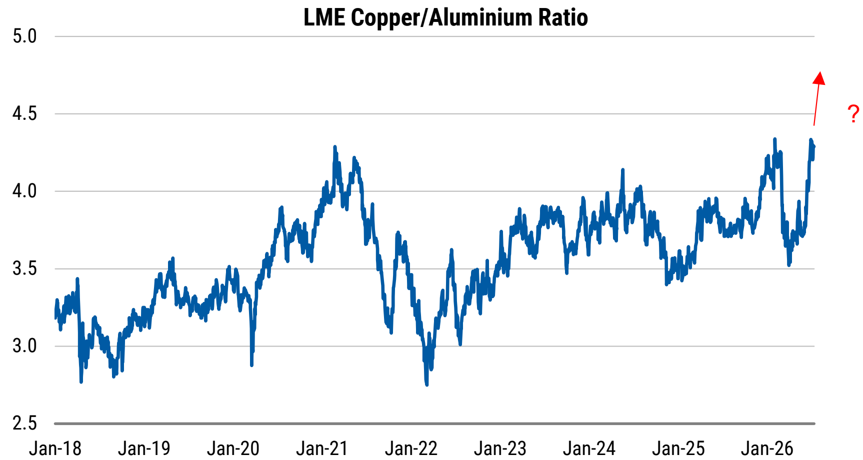
For further details, see metal&ROCK: Aluminium: Surplus Coming Faster (13 Jul 2026)

Middle East Recovery and Broader Growth: Our commodities team models Middle East output falling 1.8 Mt YoY in 2026 before rising 1.6 Mt in 2027 as disrupted capacity recovers faster, narrowing their 2026 forecast deficit to 1.1 Mt from 1.8 Mt previously; supply growth outside the Middle East is led by Indonesia, where power reallocation from nickel operations and rapid new-capacity build-out support 870 kt of new domestic production in 2026, alongside new capacity ramping in Angola and restarts at Slovalco and Magnitude 7**.**

3Q Tightness, but Copper/Aluminum Ratio Has Room to Widen: Since Middle East restarts and other new supply are likely weighted toward year-end, and a flatter forward curve leaves room for some re-stocking, aluminum could stay tight through 3Q and see a small price bounce, with further Middle East escalation offering additional support. The LME copper/aluminium ratio is already at record highs, and while further upside in copper could help aluminum too, with diverging fundamentals, tight copper supply versus an aluminum supply base that responds more readily to high prices could leave room for the ratio to widen further**.**

MS outlook: Over 3Q 2026, the aluminium market could still feel tight, as Middle East capacity ramps up and a flatter forward curve potentially encourages re-stocking. Beyond this, faster-than-expected Middle East restarts, alongside supply growth elsewhere, will tip the market into an 800 kt surplus in 2027. With this, if copper stays supported, our commodities team think the copper/aluminium ratio has scope to move higher as copper's more idiosyncratic bullish drivers diverge from aluminium's weaker outlook, though they expect the ratio to return to 'normal' levels longer term and forecast aluminum prices averaging $3,150/t in 2H26 before easing to $2,850/t in 2027.

Exhibit 45: There is scope for the LME Copper/Aluminium ratio to keep rising if copper stays tight while aluminium loosens

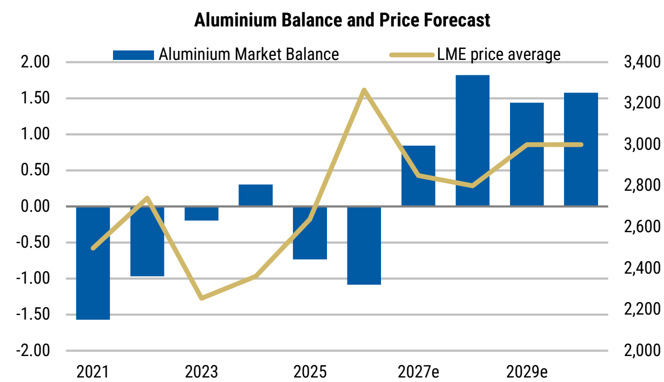


Source: Bloomberg

Exhibit 46: We model 3.9 Mt of supply growth in 2027

Source: Morgan Stanley Research estimates

Exhibit 47: Middle East resumptions and supply growth elsewhere drives a forecast 800 kt surplus in 2027 and 1.8 Mt in 2028



Source: Morgan Stanley Research estimates

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: Australia Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/30/2026)
Rahul Anand, CFA		
BHP Group Ltd (BHPB.L)	O (09/19/2024)	3,158p
BHP Group Ltd (BHGJ.J)	O (09/19/2024)	ZAc 70,721
BHP Group Ltd (BHP.AX)	O (09/19/2024)	A$60.31
Boss Energy Ltd (BOE.AX)	O (01/16/2026)	A$1.22
Deterra Royalties Ltd (DRR.AX)	U (07/08/2026)	A$4.35
Fortescue Metals Group Ltd. (FMG.AX)	U (01/16/2026)	A$18.51
IGO Ltd (IGO.AX)	E (07/08/2026)	A$6.87
Iluka Resources Ltd (ILU.AX)	O (05/22/2025)	A$6.05
Lynas Rare Earths (LYC.AX)	E (04/14/2026)	A$14.09
Mineral Resources Limited (MIN.AX)	++	A$57.98
Paladin Energy Ltd (PDN.AX)	O (10/08/2025)	A$9.42
PLS Group Ltd (PLS.AX)	E (04/14/2026)	A$4.15
Rio Tinto Limited (RIO.AX)	U (07/08/2026)	A$170.57
Sandfire Resources Ltd (SFR.AX)	E (07/08/2026)	A$18.95
South32 Ltd (S32.AX)	O (12/16/2024)	A$4.57
South32 Ltd (S32J.J)	O (12/16/2024)	ZAc 5,370
Whitehaven Coal Ltd (WHC.AX)	O (04/14/2026)	A$6.98
Shannon J Sinha		
Nickel Industries (NIC.AX)	E (04/09/2025)	A$0.82

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.